

NZ Economic Overview May 2026

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 By [Westpac New Zealand Economics](#)

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Under the pump.

The outlook for the economy has shifted dramatically from the optimistic view we held in February. Now we look set for another year of positive but still sub-par growth at 1.5% as the Iran war and the associated rise in oil and refined fuel prices have their impact. Real petrol and diesel prices are now at 50 year highs, and while global oil prices are not at record highs in real terms, they are at levels consistent with past global recessions.

We don't expect a recession right now. Rather the view is that the Iran war will merely cause a pause in the economic recovery. However, these forecasts are highly uncertain as the extent of the interruption to New Zealand's growth will depend on the duration of the Iran war. We assume conditions there will improve in coming months. But that's an assumption, not a strongly held informed view.

The expected economic hiatus will impact the services sector, retail spending and hospitality the hardest, reflecting the implied hit to household incomes. Tourism will also be interrupted as global uncertainty and airline fare prices remain high. The primary sector should continue to perform relatively well as the exchange rate will remain supportive and global food prices should be underpinned by high global fertiliser prices and reduced global food production.

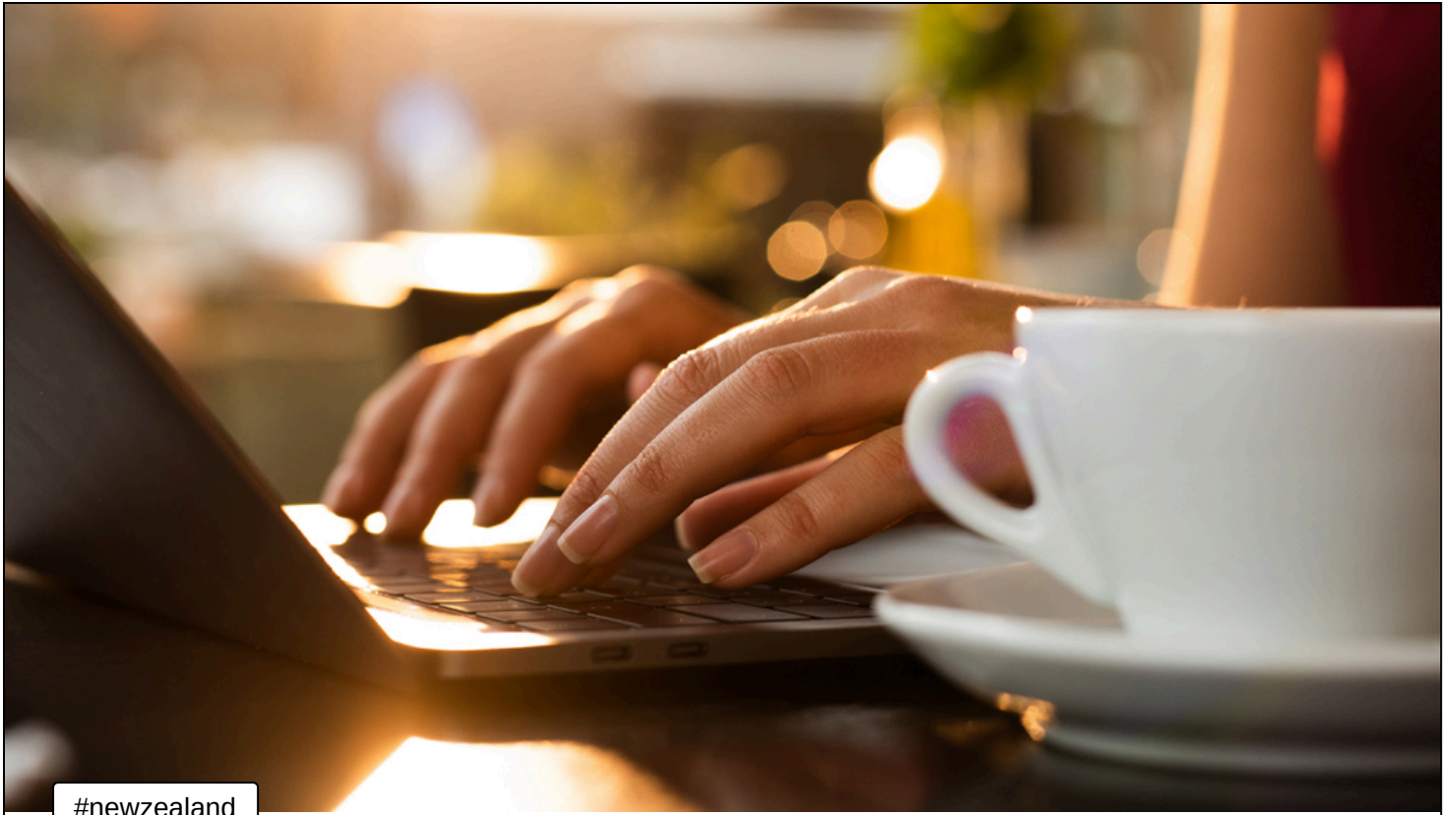
A significant cost squeeze is in train that will pressure firms' margins but also significantly lift inflation. Annual headline CPI inflation will move into the 4-5% range for a time and lift inflation expectations to some extent. Core inflation looks set to rise above the top of the RBNZ's target range and require the OCR to rise towards 3% in 2026, and higher through 2027. The duration of the war and the extent to which firms and households try to boost prices and wages to counteract the income shock will dictate the degree of OCR increases ultimately required.

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